

Technical Appendix: Regulatory Separation and Pharmaceutical Innovation: Evidence from China's MAH Reform

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1 Appendix Roadmap and Scope

This appendix is the formal derivation layer for the MAH model. It defines every primitive before use, derives product pricing and route values from explicit technologies, proves deterministic organizational sorting, solves the common project-advancement problem, closes the single qualified manufacturing-service market, and records all six required propositions plus the novelty corollary. It then separates project advancement, organizational assignment, observed holder–producer separation, and realized products.

The baseline has one binary policy channel, $M \rightarrow \tau_E(M)$, one common control x_i , deterministic choice among I, E, T, A , route-independent downstream success, and one scalar qualified-capacity equilibrium. It contains no entry, product-market, labor, capital, portfolio, dynamic-firm, or welfare closure. The final section documents possible extensions behind an explicit strict separation from the baseline; none of those objects is used by the baseline.

2 Primitives, Objects, and Timing

This section fixes the objects and information structure of the baseline before any payoff is constructed. The model is a partial equilibrium of viable drug-project advancement, commercialization organization, and qualified manufacturing services. The MAH reform changes only the institutional feasibility or friction of retained entrusted manufacturing.

2.1 Units and populations

Let C denote currency units, X project-advancement input units, P the expected measure of viable planning-stage projects in one decision cohort, K manufacturing capability/requirement units, and B qualified manufacturing-service capacity units.

There is a continuum $\mathcal{I}$ of drug developers. Developer i has research capability $a_i > 0$, measured in P/X , and internal manufacturing capability $k_i > 0$, measured in K . Its characteristics follow the exogenous distribution $H(a, k)$. Its complete permanent baseline characteristic vector is

$$\theta_i = (a_i, k_i). \quad (1)$$

These are continuous characteristics, not permanent discrete firm types.

There is also a set $\mathcal{J}$ of qualified manufacturing-service suppliers. Supplier efficiency $z_j > 0$ follows the exogenous distribution $H_C(z)$, where z is a generic supplier-efficiency value. The supplier’s capacity control and cost function are introduced when the qualified manufacturing-service market is defined below.

2.2 Project characteristics and empirical classification

A viable project that reaches the route-planning stage draws commercial or scientific value shifter $q > 0$ and manufacturing requirement $m > 0$. The latter is measured on the same K scale as k_i . Let F denote the exogenous joint distribution of project characteristics. Define

$$\omega = (q, m) \sim F(q, m), \quad (2)$$

where F is an exogenous joint distribution. Thus q governs the project’s value side, while the pair (m, k_i) governs the manufacturing mismatch. The institutional regime does not directly alter q , m , or F .

For empirical decompositions only, let $g \in \{O, \text{Inc}\}$ be an exogenous novelty classifier. Here O denotes original/breakthrough-oriented projects and Inc denotes incremental/improved projects. The latter label is distinct from the internal-manufacturing route label defined below. Let $\rho_g \geq 0$ be the class share and

$F_g(q, m)$ the conditional project distribution. They satisfy

$$\sum_{g \in \{O, \text{Inc}\}} \rho_g = 1, \quad F(q, m) = \sum_{g \in \{O, \text{Inc}\}} \rho_g F_g(q, m). \quad (3)$$

The classifier is not a new baseline state, and it does not create a separate advancement control for each class.

2.3 Institutional regime and route labels

Let the exogenous institutional regime be $M \in \{0, 1\}$. The value $M = 0$ denotes the pre-MAH regime. The value $M = 1$ means that a developer may legally retain authorization while a qualified external producer manufactures the product. Let $\tau_E(M)$, measured in C per project, denote the institutional barrier attached only to this retained entrusted route. The finite post-MAH burden is denoted by $\bar{\tau}_E \geq 0$. The baseline representation is

$$\tau_E(0) = +\infty, \quad \tau_E(1) = \bar{\tau}_E < +\infty, \quad \bar{\tau}_E \geq 0. \quad (4)$$

There is no continuous implementation parameter in the baseline.

Let p_m , measured in C/B, denote a conjectured price of qualified manufacturing service and let p_m^* denote its future market-consistent value. Let $\Omega_i(M, p_m)$, measured in C per planning-stage project, denote developer i 's expected optimized project value. These objects are semantically reserved here: the sections below first build route values, then solve the advancement problem, and finally close the CMO fixed point.

The route labels are I for internal manufacturing, E for retained entrusted manufacturing, T for transfer or another non-retained outside option, and A for abandonment or indefinite delay. If r_i denotes the project's route control, its common label domain is

$$r_i \in \{I, E, T, A\}. \quad (5)$$

Effective pre-MAH unavailability of E is encoded solely by $\tau_E(0) = +\infty$, which makes the entrusted route unavailable when values are assembled. Thus the common label domain is not a second policy channel. Under E , the developer remains the holder; entrusted production is not a transfer of ownership or authorization. The eventual optimizer is denoted by $r_i^*(q, m; M, p_m)$, but route values and the argmax are defined in the organizational-sorting section below.

2.4 Project-advancement and realization objects

Developer i chooses one common control $x_i \geq 0$, measured in X. Canonically, x_i is *project-development / advancement intensity*: effort that advances viable drug projects to the stage at which commercialization routes are planned. Upstream scientific research, basic-compound discovery, patent-generating effort, and patent applications are outside this control. Let x_i^* reserve the optimal value of this common control; its optimization is derived in the project-advancement section.

Research capability converts the control into the expected measure of viable planning-stage projects:

$$\lambda_i^{\text{plan}} = a_i x_i. \quad (6)$$

The control x_i has units X, so λ_i^{plan} has units P.

Finally, let $s(q) \in [0, 1]$ be the exogenous, route-independent probability of downstream clinical or regulatory realization:

$$\Pr\{\text{downstream realization} \mid q\} = s(q). \quad (7)$$

The reform does not shift $s(q)$. If typed observed outcomes later require a class-specific probability $s_g(q)$, it is likewise exogenous and MAH-invariant.

2.5 Baseline timing

- Stage 0. **Institutional regime.** The value of M is realized and publicly observed. It changes only the institutional barrier in (4); the infinite/finite wedge encodes the effective unavailability/availability of route E .
- Stage 1. **Ex ante project advancement.** Developer i observes (a_i, k_i, M) , anticipates the market-consistent service price p_m^* and future route opportunities, and chooses x_i . Equation (6) determines the expected measure of viable projects reaching the route-planning stage.
- Stage 2. **Project characteristics.** Each planning-stage project draws (q, m) according to (2). The optional label g records an empirical class but does not create another advancement choice.
- Stage 3. **Commercialization organization.** After observing (q, m) and the manufacturing-service price, the project chooses a route from the domain in (5). Actual holder–producer separation is observed only if the realized route is E , which occurs after the Stage 1 choice.
- Stage 4. **Downstream realization.** A retained project realizes downstream commercial value with the exogenous probability in (7). Planning-stage projects, route assignments, and realized products are distinct objects.
- Stage 5. **Manufacturing-service consistency.** Aggregate entrusted-capacity demand and qualified-capacity supply must support the same p_m^* that developers anticipated. This is a simultaneous equilibrium consistency condition, not an unanticipated event occurring after Stage 4.

Upstream scientific research and patent generation may have occurred before Stage 0 and may help explain predetermined a_i . They are outside the baseline decision timing.

2.6 Mechanism and exclusion boundaries

The only direct reform arrow is

$$M \longrightarrow \tau_E(M) \quad \text{whose infinite/finite value encodes route } E \text{ availability.} \quad (8)$$

The intended ex ante channel, conditional on the value and optimization results derived below, is

$$M \longrightarrow \text{anticipated availability/value of } E \longrightarrow \Omega_i \longrightarrow x_i^*. \quad (9)$$

The later realization order is

$$\begin{aligned} x_i^* &\longrightarrow \text{planning-stage projects} \longrightarrow r_i^* \\ &\longrightarrow \text{observed holder–producer separation} \longrightarrow \text{realized products.} \end{aligned} \quad (10)$$

Equations (9) and (10) are timing and dependency statements, not unconditional comparative-static propositions.

In particular, M does not directly change a_i , k_i , z_j , q , m , F , ρ_g , F_g , $s(q)$, or $s_g(q)$. It does not directly lower p_m^* . Nothing in this section implies an increase in patent applications, upstream scientific research, or one novelty class relative to the other.

The exact-category registry, dimensions, and forbidden interpretations are fixed by the definitions above. The equilibrium section below closes the deferred fixed point without adding another policy channel.

3 Demand and Operating Profit

This section derives the commercial value kernel used by later manufacturing routes. It conditions on a project value shifter $q > 0$ and a positive marginal manufacturing cost $c > 0$. The route technologies that

generate c are defined in the next section. Product price p is distinct from the qualified manufacturing-service price p_m .

Let C denote currency units and Y physical product-output units. One operating period has normalized length one. Both p and c are measured in C/Y , demand is measured in Y per period, one-period operating profit in C per period, and present value in C per commercially active product. A period profit is the total cash flow over that period, so discounting period profits does not sum an instantaneous flow without its time interval.

3.1 Residual demand and the pricing problem

Let $A > 0$ be the residual-demand scale and $\varepsilon > 1$ its constant price elasticity. For a given period, A has units $C^\varepsilon Y^{1-\varepsilon}$; q is dimensionless. The scalar A is distinct from the abandonment-route label. Residual demand for a successfully commercialized project is

$$y(p; q) = Aqp^{-\varepsilon}, \quad A > 0, \quad q > 0, \quad \varepsilon > 1. \quad (11)$$

The scale A , project shifter q , and elasticity ε are exogenous to the institutional regime. Conditional on q and c , the developer chooses product price from $p \in [c, \infty)$:

$$\max_{p \geq c} (p - c)Aqp^{-\varepsilon}. \quad (12)$$

Holding A, q, c, ε fixed, the derivative with respect to the product price is

$$\begin{aligned} \frac{\partial}{\partial p} [(p - c)Aqp^{-\varepsilon}] &= Aqp^{-\varepsilon} - \varepsilon Aq(p - c)p^{-\varepsilon-1} \\ &= Aqp^{-\varepsilon-1} [\varepsilon c - (\varepsilon - 1)p]. \end{aligned} \quad (13)$$

Since $Aqp^{-\varepsilon-1} > 0$, the derivative has the sign of the bracketed affine term. That term crosses zero exactly once, giving

$$p^*(c) = \frac{\varepsilon}{\varepsilon - 1}c. \quad (14)$$

Because $\varepsilon > 1$, $p^*(c) > c$, so the solution is feasible and interior.

For an independent second-order check, differentiate (13). At the stationary point, the term multiplying the derivative of $p^{-\varepsilon-1}$ vanishes, leaving

$$\left. \frac{\partial^2}{\partial p^2} [(p - c)Aqp^{-\varepsilon}] \right|_{p=p^*(c)} = -Aq(\varepsilon - 1)[p^*(c)]^{-\varepsilon-1} < 0. \quad (15)$$

The solution is also the unique global maximum. At the lower boundary $p = c$, profit is zero and the derivative is positive. The derivative is positive below $p^*(c)$ and negative above it, while profit converges to zero as p tends to infinity. Hence there is no competing boundary maximum.

3.2 Optimized one-period operating profit

Let $\pi(q, c)$ denote optimized one-period operating profit. Substituting (14) into the objective gives

$$\begin{aligned} \pi(q, c) &= \left(\frac{c}{\varepsilon - 1} \right) Aq \left(\frac{\varepsilon c}{\varepsilon - 1} \right)^{-\varepsilon} \\ &= Aq \frac{(\varepsilon - 1)^{\varepsilon-1}}{\varepsilon^\varepsilon} c^{1-\varepsilon}. \end{aligned} \quad (16)$$

The units are consistent: the price-cost margin is in C/Y , demand is in Y per period, and their product is in C per period.

Holding A, ε , and the non-differentiated argument fixed,

$$\frac{\partial \pi(q, c)}{\partial q} = \frac{\pi(q, c)}{q} > 0, \quad \frac{\partial \pi(q, c)}{\partial c} = (1 - \varepsilon) \frac{\pi(q, c)}{c} < 0. \quad (17)$$

The cost elasticity of optimized operating profit is $1 - \varepsilon$. These are continuous conditional derivatives in q and c , not a derivative with respect to the binary institutional regime.

3.3 Present value conditional on commercialization

Let $\beta \in (0, 1)$ be the one-period discount factor. Conditional on an already commercialized product, let $\varphi \in [0, 1)$ be the probability that it remains commercially active for one more period. The parameter φ is not the downstream realization probability $s(q)$: the latter applies before the operating stream begins and enters the route values defined below.

Let $t = 0, 1, \dots$ index operating periods, with the first commercial payment at $t = 0$, and let $R(q, c)$ denote expected operating present value conditional on commercialization. With a stationary conditional operating profit, this value is the convergent geometric sum

$$\begin{aligned} R(q, c) &= \sum_{t=0}^{\infty} (\beta\varphi)^t \pi(q, c) \\ &= \frac{\pi(q, c)}{1 - \beta\varphi}, \quad 0 \leq \beta\varphi < 1. \end{aligned} \quad (18)$$

Consequently, holding $\beta, \varphi, A, \varepsilon$ and the non-differentiated argument fixed,

$$\frac{\partial R(q, c)}{\partial q} = \frac{R(q, c)}{q} > 0, \quad \frac{\partial R(q, c)}{\partial c} = (1 - \varepsilon) \frac{R(q, c)}{c} < 0. \quad (19)$$

3.4 Boundary and accounting checks

The commercial-value kernel satisfies the following checks:

1. As $q \downarrow 0$, both $\pi(q, c)$ and $R(q, c)$ converge to zero.
2. As $c \rightarrow \infty$, both values converge to zero because $1 - \varepsilon < 0$.
3. If $\varphi = 0$, the commercial stream lasts one period in expectation and $R(q, c) = \pi(q, c)$.
4. As $\varphi \uparrow 1$, $R(q, c) \rightarrow \pi(q, c)/(1 - \beta)$, which remains finite because $\beta < 1$. The endpoint is a limiting check, not an admissible value under the frozen primitive domain $\varphi \in [0, 1)$.
5. The restriction $\varepsilon > 1$ is necessary for a finite interior markup price under this residual-demand specification. At $\varepsilon = 1$, profit approaches Aq as $p \rightarrow \infty$ but has no finite maximizer. For $0 < \varepsilon < 1$, profit is unbounded as $p \rightarrow \infty$.
6. As $c \downarrow 0$ at fixed $q > 0$, optimized profit diverges because $1 - \varepsilon < 0$. Thus $c > 0$ is a substantive domain restriction, not a removable endpoint. These boundary exercises do not enlarge the maintained parameter domain.

The object $R(q, c)$ is gross operating present value. The marginal cost c is subtracted exactly once through the operating margin $p - c$. Route-specific fixed organizational costs, the institutional burden on route E , and any separately defined qualified-capacity payment are absent from R ; later route-value equations must specify whether each manufacturing cost is embedded in a route-specific marginal cost or subtracted separately, and must not do both. Reduced-form return shortcuts are inactive in the baseline; the model uses only the explicit chain $y \rightarrow \pi \rightarrow R$.

Nothing in this section gives MAH a direct effect on A, q, ε, β , or φ . Thus this section establishes a policy-invariant commercial value kernel, not a policy comparative static.

The economic object here is operating revenue net of variable manufacturing cost, conditional on a project reaching commercialization. With elastic residual demand, the developer balances a higher

margin against reduced sales. Higher marginal manufacturing cost raises the optimal product price and reduces the resulting operating-profit opportunity. Later organizational choices compare this opportunity with distinct setup, institutional and capacity costs. The present calculation alone neither selects a route nor predicts a change in project advancement or observed product counts.

4 Internal and Entrusted Manufacturing Technologies

This section defines the manufacturing primitives that later enter route values. It does not construct those values, choose a route, or clear the qualified manufacturing-service market. All technology primitives are invariant to the MAH regime. The only direct institutional wedge remains $\tau_E(M)$.

4.1 Internal manufacturing

For a project with manufacturing requirement $m > 0$ and a developer with internal manufacturing capability $k_i > 0$, let

$$c_I(m, k_i) > 0, \quad c_{I,m}(m, k_i) > 0, \quad c_{I,k}(m, k_i) < 0 \quad \text{on the interior of the feasible domain.} \quad (20)$$

The function c_I is technological marginal manufacturing cost, measured in C/Y. A more demanding project raises this cost, while greater internal capability lowers it on the feasible domain.

Internal production also requires a project-level production-readiness/setup cost $F_I(m, k_i)$, measured in C. Let $\underline{k}(m) > 0$ be the minimum capability needed for an internally produced project with requirement m . The feasibility convention is

$$\begin{aligned} 0 \leq F_I(m, k_i) < +\infty, & \quad \text{if } k_i \geq \underline{k}(m), \\ F_I(m, k_i) = +\infty & \quad \text{if } k_i < \underline{k}(m). \end{aligned} \quad (21)$$

On the interior of the feasible domain, assume smoothness and $F_{I,m} > 0$ and $F_{I,k} < 0$. Derivatives are not taken across the feasibility boundary. Thus low internal capability makes route I unavailable through an infinite setup cost. No separate binary internal-feasibility primitive is retained.

4.2 Qualified external production

Under entrusted manufacturing, a qualified external producer uses the technological marginal-cost kernel

$$c_E(m) > 0, \quad (22)$$

also measured in C/Y. This kernel does not depend on the developer's internal capability k_i : manufacturing is performed by the qualified external producer.

An entrusted project requires

$$b(m) > 0, \quad b'(m) > 0, \quad (23)$$

units of qualified manufacturing-service capacity. The object $b(m)$ is a physical capacity requirement in B per project. It is not a route share, a supply curve, or an exogenous measure of scarcity relief.

The real technology-transfer, validation, and production-readiness cost is

$$F_E(m) \geq 0, \quad (24)$$

measured in C per project. In addition, the developer bears a residual holder-side responsibility and coordination burden

$$\mu_E \geq 0. \quad (25)$$

The burden μ_E is not eliminated by MAH.

The accounting roles are distinct. The technological marginal cost $c_E(m)$ is the input to the

operating-value kernel derived above. The separate monetary capacity payment $p_m b(m)$, the readiness cost $F_E(m)$, the holder burden μ_E , and the institutional barrier $\tau_E(M)$ are not embedded in $c_E(m)$. Each can therefore enter a later route value at most once.

4.3 Organizational and institutional distinction

Routes I and E are technologically and organizationally distinct:

- under I , the developer remains the holder and manufactures using its own capability k_i ;
- under E , the developer remains the authorization holder, retains holder responsibility, and a qualified external producer manufactures;
- route E is not the transfer or out-licensing route T , under which the retained holder–producer organization is not used.

The only direct policy object is

$$M \in \{0, 1\}, \quad \tau_E(0) = +\infty, \quad \tau_E(1) = \bar{\tau}_E < +\infty. \quad (26)$$

The regime does not change c_I , F_I , $\underline{k}$, c_E , b , F_E , μ_E , a_i , k_i , q , m , $s(q)$, or $s_g(q)$. In particular, this technology block does not posit a fall in p_m^* or an outward shift of CMO supply. Price and capacity are equilibrium objects determined in the qualified manufacturing-service market below.

4.4 Boundary checks

If $k_i < \underline{k}(m)$, internal production is infeasible because $F_I = +\infty$; this is the required low-capability boundary. Increasing k_i within the feasible domain lowers both internal marginal and setup costs, while increasing m raises both. The entrusted technology does not use k_i , but a larger m strictly raises its qualified-capacity requirement $b(m)$. None of these statements is a route-choice result: route values, outside options, and deterministic sorting are defined in the next section.

5 Route Values and Organizational Sorting

This section composes the commercial-value kernel with the internal and entrusted manufacturing technologies defined above. It treats the qualified manufacturing-service price p_m as fixed and conjectured. Market consistency for p_m^* is imposed in the capacity-market section below.

5.1 Route values

For an internally feasible project, the internal route value is

$$W_i^I(q, m) = s(q)R(q, c_I(m, k_i)) - F_I(m, k_i). \quad (27)$$

If $k_i < \underline{k}(m)$, then $F_I = +\infty$ and $W_i^I = -\infty$, so internal production is unavailable. This is an extended-value convention; we do not evaluate the undefined internal marginal cost below feasibility.

At a conjectured CMO capacity price p_m , retained entrusted manufacturing has value

$$W_i^E(q, m; M, p_m) = s(q)R(q, c_E(m)) - F_E(m) - p_m b(m) - \mu_E - \tau_E(M). \quad (28)$$

The developer remains the authorization holder under E ; the qualified external producer manufactures. Each route cost is subtracted exactly once. In particular, $p_m b(m)$ is not contained in $c_E(m)$.

Let the noncore transfer/out-license outside value be a finite continuous function $T(q, m)$, and nor-

malize abandonment or indefinite delay to zero:

$$W^T(q, m) = T(q, m), \quad W^A = 0. \quad (29)$$

No separate transfer market is added.

5.2 Deterministic route choice

The optimized value of a planning-stage project is

$$W_i(q, m; M, p_m) = \max \{W_i^I(q, m), W_i^E(q, m; M, p_m), W^T(q, m), W^A\}. \quad (30)$$

The route choice is

$$r_i^*(q, m; M, p_m) = \arg \max_{r \in \{I, E, T, A\}} \begin{cases} W_i^I(q, m), & r = I, \\ W_i^E(q, m; M, p_m), & r = E, \\ W^T(q, m), & r = T, \\ W^A, & r = A. \end{cases} \quad (31)$$

Alongside continuous heterogeneity, impose the no-tie regularity restriction: for each fixed candidate price and regime, maximizing ties have zero project probability for almost every developer. Continuity alone does not imply this restriction. A fixed measurable selection resolves null-set ties. Thus the choice is single valued almost surely. This is a deterministic comparison; it generates no probabilistic route share.

When $M = 0$, $\tau_E(0) = +\infty$ implies $W_i^E = -\infty$. At fixed p_m , the binary reform comparison is therefore

$$\begin{aligned} & W_i(q, m; 1, p_m) - W_i(q, m; 0, p_m) \\ &= \max \{W_i^E(q, m; 1, p_m), W_i^I(q, m), W^T(q, m), 0\} \\ &\quad - \max \{W_i^I(q, m), W^T(q, m), 0\} \geq 0. \end{aligned} \quad (32)$$

The value gain is exactly zero whenever the newly feasible entrusted value fails to exceed the best pre-reform route. The route is unchanged when the inequality is strict; equality can affect only a tie selection, a null event under the stated regularity restriction.

5.3 Internal-entrusted value gap

For fixed q, m, M, p_m with finite $\tau_E(M)$ and internal feasibility, define

$$\begin{aligned} \Delta_{IE}(k_i; q, m, M, p_m) &= W_i^I(q, m) - W_i^E(q, m; M, p_m) \\ &= s(q)[R(q, c_I(m, k_i)) - R(q, c_E(m))] - F_I(m, k_i) \\ &\quad + F_E(m) + p_m b(m) + \mu_E + \tau_E(M). \end{aligned} \quad (33)$$

On the interior of the internally feasible domain, only the internal technology terms vary with k_i . Holding q, m, M, p_m fixed,

$$\frac{\partial \Delta_{IE}}{\partial k_i} = s(q)R_c(q, c_I(m, k_i))c_{I,k}(m, k_i) - F_{I,k}(m, k_i) > 0. \quad (34)$$

The first term is weakly positive because $s(q) \geq 0$, $R_c < 0$, and $c_{I,k} < 0$; the second is strictly positive because $F_{I,k} < 0$. Hence the entire derivative is strictly positive, including the boundary case $s(q) = 0$.

5.4 Conditional organizational cutoff

Consider a finite entrusted barrier and suppose that the continuous value gap satisfies the endpoint crossing conditions

$$\lim_{k \downarrow \underline{k}(m)} \Delta_{IE}(k) < 0, \quad \lim_{k \rightarrow \infty} \Delta_{IE}(k) > 0.$$

Continuity gives existence of a root, and (34) gives strict monotonicity and therefore uniqueness. Denote the unique root by

$$\Delta_{IE}(k^*(q, m; p_m, M); q, m, M, p_m) = 0. \quad (35)$$

Conditional on both I and E dominating transfer and abandonment,

$$k_i < k^* \Rightarrow r_i^* = E, \quad k_i > k^* \Rightarrow r_i^* = I. \quad (36)$$

If T or A dominates, the I/E cutoff does not determine the realized route.

For a finite wedge, let the arguments τ_E and p_m vary locally while holding q, m fixed. Since

$$\frac{\partial \Delta_{IE}}{\partial \tau_E} = 1, \quad \frac{\partial \Delta_{IE}}{\partial p_m} = b(m) > 0,$$

the implicit-function theorem yields

$$\frac{\partial k^*}{\partial \tau_E} = -\frac{1}{\Delta_{IE,k}(k^*)} < 0, \quad \frac{\partial k^*}{\partial p_m} = -\frac{b(m)}{\Delta_{IE,k}(k^*)} < 0. \quad (37)$$

A lower finite institutional barrier raises k^* , expanding the entrusted-production region $k_i < k^*$. A higher fixed CMO price lowers k^* , contracting that region. The price derivative is a conditional comparative static, not an equilibrium derivative through p_m^* .

5.5 Organizational sorting result

Suppose the commercial-value and technology restrictions above hold, the entrusted barrier is finite, the endpoint crossing conditions hold, and ties have measure zero. Then the internal-minus-entrusted value gap is strictly increasing in developer manufacturing capability, a unique finite I/E cutoff exists, and the conditional sorting and implicit derivatives in (36)–(37) follow. The proposition is conditional: it does not displace the valid transfer and abandonment outside options.

5.6 Zero-effect and non-tautology boundary

The route comparison is not tautological. Internal value depends on developer capability through c_I and F_I ; entrusted value instead uses qualified-external technology, a physical capacity requirement, a retained holder burden, and the institutional wedge. MAH can nevertheless have zero effect when E remains below the pre-reform maximum, including when T or A still dominates after reform. Failure of the finite I/E crossing condition alone does not imply zero reform gain. No probabilistic route share is used.

6 Project Development and Advancement

This section solves the ex ante advancement decision at a fixed conjectured qualified manufacturing-service price p_m . It uses the deterministic optimized route value defined above. CMO market consistency and the feedback that selects p_m^* are imposed in the capacity-market section below.

6.1 Innovation-object boundary and planned-project technology

Developer i chooses one common control $x_i \geq 0$. Its canonical meaning is project-development / advancement intensity: it advances viable drug projects to a commercialization-relevant route-planning stage. It excludes patent applications, patent-generating effort, basic research, and upstream scientific discovery. There is no class-specific control x_{ig} .

Predetermined project-advancement productivity $a_i > 0$ converts the control into the expected measure of viable projects reaching route planning:

$$\lambda_i^{\text{plan}} = a_i x_i. \quad (38)$$

The control has units $\mathbf{X}$, and a_i has units $\mathbf{P}/\mathbf{X}$, so λ_i^{plan} has units $\mathbf{P}$.

Let $\kappa > 0$ be the cost scale and $\nu > 0$ its curvature parameter. The advancement-cost function is

$$C_X(x_i) = \frac{\kappa}{1+\nu} x_i^{1+\nu}, \quad \kappa > 0, \quad \nu > 0. \quad (39)$$

Here κ has units $\mathbf{C}/\mathbf{X}^{1+\nu}$, so C_X is measured in currency per developer and decision cohort. Its marginal cost is $C'_X(x_i) = \kappa x_i^\nu$. The boundary $\nu = 1$ gives a quadratic advancement cost.

6.2 Expected optimized project value

For developer i , institutional regime M , and fixed conjectured price p_m , define

$$\begin{aligned} \Omega_i(M, p_m) &= \mathbb{E}_F[W_i(q, m; M, p_m)] \\ &= \int W_i(q, m; M, p_m) dF(q, m). \end{aligned} \quad (40)$$

The subscript i includes the dependence of route value on developer characteristics, especially manufacturing capability k_i . Because the route-value maximum contains abandonment with value zero, $W_i(q, m; M, p_m) \geq 0$. Assume measurable route values and finite expected optimized value. A sufficient condition is integrability of the sum of nonnegative gross operating values of feasible routes and the positive part of T . Then

$$0 \leq \Omega_i(M, p_m) < +\infty.$$

The expectation averages the optimized deterministic project value.

6.3 Ex ante advancement problem

The developer solves

$$\max_{x_i \geq 0} \left\{ \beta a_i x_i \Omega_i(M, p_m) - \frac{\kappa}{1+\nu} x_i^{1+\nu} \right\}. \quad (41)$$

The decision precedes the (q, m) draw and downstream route choice. Conditional on M, p_m, a_i, k_i , the expected value $\Omega_i(M, p_m)$ is therefore fixed with respect to the individual choice x_i .

The necessary and sufficient Kuhn–Tucker conditions are

$$\begin{aligned} x_i &\geq 0, \quad \kappa x_i^\nu - \beta a_i \Omega_i(M, p_m) \geq 0, \\ x_i [\kappa x_i^\nu - \beta a_i \Omega_i(M, p_m)] &= 0. \end{aligned} \quad (42)$$

For an interior solution, the FOC is

$$\kappa x_i^\nu = \beta a_i \Omega_i(M, p_m). \quad (43)$$

For $x_i > 0$, the objective's second derivative is

$$-\kappa \nu x_i^{\nu-1} < 0. \quad (44)$$

More generally, $x_i^{1+\nu}$ is strictly convex on the nonnegative domain for every $\nu > 0$. Hence the objective is strictly concave. Its superlinear cost dominates the linear benefit as $x_i \rightarrow \infty$, so a unique maximizer exists.

The unique optimal common advancement intensity is

$$x_i^*(M, p_m) = \left[\frac{\beta a_i}{\kappa} \Omega_i(M, p_m) \right]^{1/\nu}. \quad (45)$$

If $\Omega_i = 0$, the formula gives the unique corner $x_i^* = 0$. If $\Omega_i > 0$, the solution is interior. Dimensionally, $\beta a_i \Omega_i / \kappa$ has units X^ν , so the solution has units X .

6.4 Fixed-price binary MAH channel

At a fixed p_m , deterministic route choice implies the pointwise weak ordering

$$W_i(q, m; 1, p_m) \geq W_i(q, m; 0, p_m).$$

Taking expectations gives the finite policy comparison

$$\Omega_i(1, p_m) - \Omega_i(0, p_m) = \int [W_i(q, m; 1, p_m) - W_i(q, m; 0, p_m)] dF(q, m) \geq 0. \quad (46)$$

For positive Ω_i ,

$$\frac{\partial x_i^*}{\partial \Omega_i} = \frac{1}{\nu} \left(\frac{\beta a_i}{\kappa} \right)^{1/\nu} \Omega_i^{1/\nu-1} > 0.$$

Thus, at fixed p_m ,

$$\Omega_i(1, p_m) > \Omega_i(0, p_m) \iff x_i^*(1, p_m) > x_i^*(0, p_m).$$

The strict inequality in expected value requires a positive-probability set of projects for which the newly feasible entrusted route strictly improves the pre-reform maximum. Otherwise both expected value and advancement can have a zero reform effect.

This is a binary finite comparison, not a derivative with respect to M . It is also a fixed-price result, not the equilibrium-price comparative static through p_m^* . The regime changes neither a_i , κ , ν , the cost function, nor the project distribution. MAH affects x_i^* only through Ω_i . Manufacturing capability k_i affects Ω_i through route values and sorting, not through $a_i x_i$ or $C_X(x_i)$.

6.5 Downstream project-value gap

For an appendix-only value decomposition, let B_i denote the continuation-value benchmark before one additional viable project reaches route planning, and let K_i denote value after it reaches that stage. Define

$$K_i = B_i + \Omega_i, \quad K_i - B_i = \Omega_i. \quad (47)$$

Substituting this accounting identity into the interior FOC gives

$$C'_X(x_i) = \beta a_i (K_i - B_i). \quad (48)$$

This is an Akcigit-style downstream project-value interpretation. The auxiliaries B_i and K_i are not recursive state variables, and the identity does not claim that MAH directly raises scientific-research productivity.

6.6 Scope boundary

The baseline contains one common x_i , one cost function C_X , and one expected optimized project value Ω_i . It contains no separate research and development controls, no binding financial constraint, no patent

outcome, no novelty-class-specific control, and no CMO market-clearing condition. Project advancement is ex ante; route choice and observed holder–producer separation are downstream.

7 Qualified Manufacturing-Service Market

This section closes only the market for qualified manufacturing-service capacity. Developers and qualified suppliers take a conjectured price p_m as given when making their individual choices. The market-consistent price p_m^* is then selected by one scalar clearing equation. No entry, labor, capital, product-market, or welfare market is added.

7.1 Qualified-capacity supply

Qualified supplier j , with predetermined efficiency z_j , chooses capacity $s_j \geq 0$. Let $\Psi(s_j; z_j)$ denote its real capacity cost. The supplier solves

$$\max_{s_j \geq 0} \{p_m s_j - \Psi(s_j; z_j)\}. \quad (49)$$

Capacity has units B per decision cohort, p_m has units C/B, and Ψ has units C.

For every z_j , assume twice continuous differentiability and

$$\Psi(0; z_j) = 0, \quad \Psi_s(0; z_j) = 0,$$

$$\Psi_s > 0 \text{ for } s_j > 0, \quad \Psi_{ss} > 0, \quad \Psi_{sz} < 0 \text{ for } s_j > 0,$$

At zero capacity, $\Psi_{sz}(0; z_j) = 0$; no strict cross-derivative condition is imposed there. Assume $\Psi_s(s_j; z_j) \rightarrow +\infty$ as $s_j \rightarrow +\infty$. At $p_m = 0$, the unique optimum is $s_j^* = 0$. For $p_m > 0$, the solution is interior and satisfies

$$p_m = \Psi_s(s_j^*(p_m, z_j); z_j). \quad (50)$$

The objective's second derivative is $-\Psi_{ss} < 0$, so the capacity choice is unique. The implicit-function theorem gives

$$\frac{\partial s_j^*}{\partial p_m} = \frac{1}{\Psi_{ss}} > 0, \quad \frac{\partial s_j^*}{\partial z_j} = -\frac{\Psi_{sz}}{\Psi_{ss}} > 0. \quad (51)$$

Aggregate qualified-capacity supply is

$$S_m(p_m) = \int s_j^*(p_m, z) dH_C(z). \quad (52)$$

Assume supplier best responses admit an integrable envelope on every bounded price interval and H_C has positive unit mass. Then S_m is continuous and strictly increasing, $S_m(0) = 0$, and $S_m(p_m) \rightarrow +\infty$ as $p_m \rightarrow +\infty$. Supply technology and H_C are invariant to M ; MAH creates no direct supply shift.

7.2 Entrusted-capacity demand per planning-stage project

Assume $\int b(m) dF < \infty$, along with the Phase 5 value envelope and the Phase 4 no-tie restriction at each candidate price. At a candidate price p_m , define developer i 's expected qualified capacity per planning-stage project as

$$\chi_i^E(p_m; M) = \int b(m) \mathbf{1}\{r_i^*(q, m; M, p_m) = E\} dF(q, m). \quad (53)$$

This is an integral of deterministic route choices, not a probabilistic route-share formula.

The entrusted value falls with price at slope $-b(m) < 0$, while the other route values do not contain p_m . Consequently, for each project the set of prices at which E is chosen is an interval from below: once

a higher price makes E lose to another route, a still higher price cannot restore it. Hence $\chi_i^E(p_m; M)$ is weakly decreasing in p_m .

Away from the measure-zero set of route ties, the envelope derivative of the optimized project value is

$$\frac{\partial W_i(q, m; M, p_m)}{\partial p_m} = -b(m)\mathbf{1}\{r_i^*(q, m; M, p_m) = E\}.$$

Dominated convergence then gives

$$\frac{\partial \Omega_i(M, p_m)}{\partial p_m} = -\chi_i^E(p_m; M) \leq 0 \quad \text{almost everywhere in } p_m. \quad (54)$$

For $\Omega_i > 0$, the advancement optimizer therefore satisfies

$$\frac{\partial x_i^*(M, p_m)}{\partial p_m} = -\frac{x_i^*(M, p_m)}{\nu \Omega_i(M, p_m)} \chi_i^E(p_m; M) \leq 0. \quad (55)$$

At the zero-value corner, $x_i^* = 0$; globally the optimal advancement intensity remains weakly decreasing in p_m .

7.3 Aggregate demand

Developer i 's expected qualified-capacity demand is

$$a_i x_i^*(M, p_m) \chi_i^E(p_m; M).$$

Aggregating over developer heterogeneity gives study-related demand

$$D_m^{\text{MAH}}(p_m; M) = \int a_i x_i^*(M, p_m) \chi_i^E(p_m; M) dH(a, k). \quad (56)$$

This expression contains both price feedbacks required by the model: x_i^* responds through expected project value, and χ_i^E responds through deterministic route selection.

For aggregate integration, assume $\int a_i x_i^*(1, 0) [\int b(m) dF] dH < \infty$. This is a sufficient common envelope for all nonnegative candidate prices and both regimes because advancement and entrusted demand are nonincreasing in price and pre-reform advancement is no greater than post-reform advancement at zero price. Both factors are nonnegative and weakly decreasing in p_m , so D_m^{MAH} is weakly decreasing. Individual route indicators can jump at a cutoff. Aggregate demand is nevertheless continuous: when $p_m^n \rightarrow p_m$, route indicators converge for every project-developer pair except the zero-measure tie set, x_i^* is continuous through Ω_i , and the common integrable envelope permits dominated convergence. Thus aggregate regularity follows from the no-tie and integrability restrictions on heterogeneity; continuity of heterogeneity alone is insufficient.

Let $D_m^B(p_m)$ be finite, continuous, nonnegative, weakly decreasing background demand with

$$D_m^B(0) > 0, \quad \lim_{p_m \rightarrow \infty} D_m^B(p_m) = 0.$$

It is policy invariant and allows a CMO market to exist before MAH. Total demand is

$$D_m(p_m; M) = D_m^B(p_m) + D_m^{\text{MAH}}(p_m; M). \quad (57)$$

It is finite, continuous, nonnegative, and weakly decreasing.

7.4 Market clearing, existence, and uniqueness

The qualified-capacity market clears at

$$D_m(p_m^*; M) = S_m(p_m^*). \quad (58)$$

At zero price,

$$D_m(0; M) \geq D_m^B(0) > 0 = S_m(0). \quad (59)$$

As $p_m \rightarrow \infty$, $W_i^E \rightarrow -\infty$ pointwise because $b(m) > 0$, so $\chi_i^E \rightarrow 0$ and study-related demand tends to zero under the integrable envelope. Background demand also tends to zero, whereas aggregate supply tends to infinity. Continuity therefore gives at least one positive clearing price.

Total demand is weakly decreasing and aggregate supply is strictly increasing. Their difference is strictly decreasing, so the clearing price is unique.

7.5 Closed scalar solution order

For each regime M , the equilibrium can be computed without an unresolved cycle:

1. conjecture p_m ;
2. evaluate route values and deterministic $r_i^*(q, m; M, p_m)$;
3. integrate $\Omega_i(M, p_m)$ and compute $x_i^*(M, p_m)$;
4. integrate χ_i^E and D_m^{MAH} ;
5. solve supplier capacity and aggregate $S_m(p_m)$;
6. find the unique zero of $D_m(p_m; M) - S_m(p_m)$.

Every object on the right side is a function of the candidate price, leaving one scalar equation in p_m .

When $M = 0$, route E is unavailable, so $D_m^{\text{MAH}}(p_m; 0) = 0$; background demand still supports the market. When $M = 1$, study demand is nonnegative and supply is unchanged. Hence the post-MAH clearing price is weakly above the pre-MAH price, and it is strictly higher if study demand is positive at the pre-MAH price. This is an endogenous scarcity-price response, not a direct policy shift in p_m^* or CMO technology.

7.6 Scope boundary

This section closes qualified manufacturing-service capacity only. It introduces no supplier entry, no direct policy supply shift, no logit route smoothing, and no additional market-clearing condition. The price response is generated jointly by supplier optimization, deterministic route selection, project advancement, and scalar market clearing.

8 Baseline MAH Partial Equilibrium

Fix the institutional regime $M \in \{0, 1\}$, the developer distribution $H(a, k)$, the project distribution $F(q, m)$, the qualified-supplier distribution $H_C(z)$, and all other exogenous primitives introduced above. A baseline MAH partial equilibrium is the collection

$$\boxed{\{p_m^*, x_i^*, r_i^*(q, m), s_j^*\}_{i,j}}. \quad (60)$$

The suppressed arguments are $x_i^* = x_i^*(M, p_m^*)$, $r_i^*(q, m) = r_i^*(q, m; M, p_m^*)$, and $s_j^* = s_j^*(p_m^*, z_j)$. The collection contains exactly these four families of endogenous optimal objects.

It satisfies the following four conditions.

1. Optimal commercialization route. For every planning-stage project-developer pair outside the zero-measure tie set, use the route-indexed shorthand W_i^r for the four Phase 4 values, with $W_i^T = W^T$ and $W_i^A = W^A$. Then

$$r_i^*(q, m; M, p_m^*) \in \arg \max_{r \in \{I, E, T, A\}} W_i^r(q, m; M, p_m^*), \quad (61)$$

with route E unavailable when $M = 0$. This is the deterministic route choice defined above; route E retains holder rights and is not route T .

2. Optimal project advancement. For every developer i , the common project-advancement control is

$$x_i^*(M, p_m^*) = \left[\frac{\beta a_i \Omega_i(M, p_m^*)}{\kappa} \right]^{1/\nu}, \quad (62)$$

including the zero-value corner $x_i^* = 0$. There is no class-specific x_{ig} control.

3. Optimal qualified-supplier capacity. For every qualified supplier j ,

$$s_j^*(p_m^*, z_j) \in \arg \max_{s_j \geq 0} \{p_m^* s_j - \Psi(s_j; z_j)\}. \quad (63)$$

Strict convexity of Ψ makes this capacity choice unique. Supplier entry is not a margin of the model.

4. Qualified-capacity market clearing. The price p_m^* is the unique solution to

$$D_m(p_m^*; M) = S_m(p_m^*). \quad (64)$$

The qualified-capacity existence and uniqueness conditions apply. The demand and supply functions determine the price but are not additional members of the equilibrium collection.

8.1 Closure boundary

Equations (61)–(64) close only commercialization route choice, common project advancement, qualified-supplier capacity, and the manufacturing-service price. There is no entry condition and no labor-market, capital-market, product-market aggregate, firm-distribution, or welfare-clearing condition. Product price $p^*(c)$ remains a conditional firm-level optimum from the pricing problem, not a second market-clearing price.

9 Required Baseline Propositions

This section states exactly six substantive propositions. The novelty result is a corollary of the MAH-relevant-project-set identity, not a seventh substantive proposition. All policy comparisons are finite comparisons between $M = 0$ and $M = 1$; the binary regime is never differentiated.

9.1 Proposition 1: Organizational sorting

Assumptions and fixed objects. Fix a project (q, m) , a finite institutional wedge, regime $M = 1$, and a conjectured support price $p_m < \infty$. Hold all primitives except internal manufacturing capability k_i fixed. On the interior of the internally feasible domain, use the technology signs and endpoint-crossing conditions stated above.

Claim. The internal-minus-entrusted value gap is strictly increasing in k_i :

$$\frac{\partial \Delta_{IE}(k_i; q, m, M, p_m)}{\partial k_i} = s(q) R_c(q, c_I) c_{I,k}(m, k_i) - F_{I,k}(m, k_i) > 0. \quad (65)$$

If the gap is negative at the lower feasible endpoint and positive at the upper endpoint, there is a unique $k^*(q, m; p_m, M)$. Conditional on both I and E dominating T and A , developers below the cutoff use E and developers above it use I .

Proof. The commercial-value kernel gives $R_c < 0$, while the internal technology gives $c_{I,k} < 0$ and $F_{I,k} < 0$. The operating-cost term on the right side of (65) is weakly positive (and is zero when $s(q) = 0$), while the setup-cost term is strictly positive. Their sum is therefore strictly positive. Continuity and endpoint crossing give existence by the intermediate value theorem; strict monotonicity gives uniqueness. The sign of the gap on either side of its unique zero gives the conditional sorting statement. The comparison with T/A is required because an I/E ranking alone does not establish the globally selected route.

Sufficient conditions and zero-effect cases. The endpoint-crossing conditions are sufficient, not primitive conclusions. If they fail, a finite interior cutoff need not exist. If $k_i < \underline{k}(m)$, internal production is infeasible. As $k_i \rightarrow \infty$, the maintained technology signs weakly favor internal production relative to entrusted production. At $M = 0$, route E is unavailable and there is no finite pre-MAH I/E cutoff.

Economic interpretation. Internal capability reduces both internal operating cost and setup burden. Entrusted production is most useful to developers for which those internal advantages are weak, but it is selected only when it also beats transfer or delay. The result is organizational sorting, not a permanent firm-type taxonomy.

9.2 Proposition 2: The MAH-relevant project set

Assumptions and fixed objects. Fix developer i , project draw (q, m) , and support price p_m . The old route set is I, T, A ; post-MAH adds E without removing an old option. Route values retain the definitions given above.

Definitions and claim. Define

$$W_i^0(q, m) = \max\{W_i^I(q, m), W^T(q, m), 0\}, \quad W_i^1(q, m; p_m) = \max\{W_i^0(q, m), W_i^E(q, m; 1, p_m)\}. \quad (66)$$

Then

$$W_i^1(q, m; p_m) - W_i^0(q, m) = [W_i^E(q, m; 1, p_m) - W_i^0(q, m)]_+. \quad (67)$$

The MAH-relevant project set is

$$\mathcal{C}_i(p_m) = \{(q, m) : W_i^E(q, m; 1, p_m) > W_i^0(q, m)\}. \quad (68)$$

Only project draws in this set receive a strict direct value gain at the fixed support price.

Proof. For any real numbers a, b , $\max\{a, b\} - a = [b - a]_+$. Apply the identity with $a = W_i^0$ and $b = W_i^E$. The gain is strictly positive exactly where the argument of the positive-part operator is positive, which is precisely $\mathcal{C}_i(p_m)$.

Sufficient conditions and zero-effect cases. A project receives a strict gain if and only if entrusted value strictly exceeds internal value, transfer value, and abandonment value at the support price. If $W_i^E \leq W_i^0$, the project gain is zero. If this inequality holds for all project draws, $\mathcal{C}_i(p_m)$ is empty up to null sets. As $p_m \rightarrow \infty$, $W_i^E \rightarrow -\infty$, so the old value is preserved in the limit for each fixed project. Each fixed project eventually exits the relevant set; without bounded support this need not occur at one common finite price. The integrable value envelope gives convergence of expected gain to zero.

Economic interpretation. MAH matters only where retained entrusted manufacturing beats every option already available. The reform does not raise the value of projects that were already better served internally, transferred, or delayed.

9.3 Proposition 3: Project advancement and firm heterogeneity

Assumptions and fixed objects. Fix a support price p_m , policy-invariant primitives, and developer characteristics except for the characteristic varied in each comparison. Route values do not depend on research capability a_i . For the manufacturing-capability result, additionally impose the proposition-specific sufficient condition $\nu \geq 1$. For comparisons including the exact feasibility endpoint, require right-continuity of feasible internal costs there; no derivative across the extended-value boundary is taken.

Proof: expected value and advancement response. Let $\Omega_i^h(p_m) = \int W_i^h(q, m; p_m) dF(q, m)$ for $h \in \{0, 1\}$, with the irrelevant p_m argument suppressed for $h = 0$. Proposition 2 implies

$$\Delta\Omega_i(p_m) \equiv \Omega_i^1(p_m) - \Omega_i^0 = \int [W_i^E(q, m; 1, p_m) - W_i^0(q, m)]_+ dF(q, m) \geq 0. \quad (69)$$

The common advancement response is

$$\Delta x_i(p_m) = \left(\frac{\beta a_i}{\kappa} \right)^{1/\nu} \left[(\Omega_i^0 + \Delta\Omega_i(p_m))^{1/\nu} - (\Omega_i^0)^{1/\nu} \right]. \quad (70)$$

Because $t^{1/\nu}$ is strictly increasing for every $\nu > 0$,

$$\Delta x_i(p_m) > 0 \iff \Delta\Omega_i(p_m) > 0.$$

Research-capability scaling. Holding $k_i, p_m, \Omega_i^0, \Delta\Omega_i$ and all primitives fixed, a positive response satisfies

$$\frac{\partial \Delta x_i(p_m)}{\partial a_i} = \frac{\Delta x_i(p_m)}{\nu a_i} > 0. \quad (71)$$

Thus the level response is stronger at higher a_i whenever the MAH-relevant set has positive expected surplus.

Capability result. The internal value is nondecreasing in k_i , whereas the other old route values and entrusted value are independent of k_i . Therefore $\Omega_i^0(k_i)$ is nondecreasing and $\Delta\Omega_i(k_i; p_m)$ is nonincreasing. When $\nu \geq 1$, $h(t) = t^{1/\nu}$ is increasing and concave, so $h(u + d) - h(u)$ is nondecreasing in d and nonincreasing in u . Applying this result to $u = \Omega_i^0(k_i)$ and $d = \Delta\Omega_i(k_i; p_m)$ yields

$$k'_i \geq k_i \implies \Delta x_i(k'_i; p_m) \leq \Delta x_i(k_i; p_m), \quad \nu \geq 1. \quad (72)$$

The inequality is strict when the entrusted surplus falls on a positive-measure set. For $\nu > 1$, a strict rise in baseline value also makes the concavity channel strict when the reform surplus remains positive; zero surplus cannot generate a strict response. For $0 < \nu < 1$, no sign is asserted without an additional bound.

Zero-effect and boundary cases. If the relevant set is null or entrusted advantage is zero, then $\Delta\Omega_i = \Delta x_i = 0$. At $\nu = 1$,

$$x_i^* = \frac{\beta a_i}{\kappa} \Omega_i, \quad \Delta x_i = \frac{\beta a_i}{\kappa} \Delta\Omega_i,$$

so manufacturing heterogeneity operates entirely through the expected value gain. A high a_i does not create a response when the value gain is zero.

Economic interpretation. Research capability scales how strongly a given increase in the value of advancing projects changes the level of advancement. Weak internal manufacturing capability makes retained outsourcing more likely to add value. The resulting response is strongest for high- a_i , low- or intermediate- k_i developers under the stated curvature condition. This does not imply more patent applications, basic research, scientific discovery, or breakthrough novelty.

9.4 Corollary: Novelty composition is ambiguous

Assumptions and fixed objects. Fix developer i and support price p_m . The class $g \in \{O, \text{Inc}\}$ is an exogenous classifier, not a control or state. The same x_i applies to both classes.

Claim and proof. Define $\Omega_{ig}^0 = E_{F_g}[W_i^0]$ and $\Omega_{ig}^1 = E_{F_g}[\max\{W_i^0, W_i^E\}]$. Then

$$\Delta\Omega_{ig} = E_{F_g} \left[(W_i^E - W_i^0)_+ \right], \quad \Delta\Omega_i = \sum_{g \in \{O, \text{Inc}\}} \rho_g \Delta\Omega_{ig}. \quad (73)$$

The positive-part identity proves the first equality; the mixture identity for F proves the second. The baseline imposes no restriction ordering the two conditional distributions of entrusted surplus. A support on which only class O has positive entrusted surplus gives $\Delta\Omega_{iO} > \Delta\Omega_{i\text{Inc}}$; interchanging the class supports reverses the ranking. Hence neither ordering follows from the baseline.

Zero-effect and boundary cases. If $\rho_O = 0$, class O contributes zero to the aggregate gain; if $\rho_{\text{Inc}} = 0$, class Inc contributes zero. A conditional class gain may be zero even when the other is positive.

Economic interpretation. Different novelty classes may induce different distributions of manufacturing requirements, commercial values, and hence success probabilities, costs and outside options through their F_g distributions. Only explicit primitive differences can order their responses. No empirical original-versus-incremental ranking is hard-coded into the theory.

9.5 Proposition 4: CMO equilibrium existence and uniqueness

Assumptions and fixed objects. Fix M and all exogenous distributions and primitives. Use the maintained primitive supply, background-demand, no-tie and integrability conditions of the capacity-market section. That section derives continuous nonincreasing finite demand and continuous strictly increasing supply, with positive excess demand at zero and negative excess demand at high price. These aggregate properties are derived inputs to this proof, not assumed economic conclusions.

Claim. There exists a unique qualified-capacity clearing price $p_m^*(M) > 0$.

Proof. Define excess demand

$$Z_M(p_m) = D_m(p_m; M) - S_m(p_m). \quad (74)$$

It is continuous. At zero, $Z_M(0) \geq D_m^B(0) > 0$. At sufficiently high prices, total demand tends to zero and supply is unbounded, so $Z_M(p_m) < 0$. The intermediate value theorem gives a positive root. Because demand is weakly decreasing and supply strictly increasing, Z_M is strictly decreasing; the root is unique.

Sufficient conditions and zero-effect cases. Strictly increasing supply is sufficient for uniqueness even when demand has flat regions. At $M = 0$, study-related entrusted demand is zero, but background demand supports a positive pre-MAH price. If background demand at zero were absent, the positive-price conclusion would not follow from these conditions; that is outside the maintained baseline.

Economic interpretation. The capacity price coordinates deterministic entrusted-route demand, project advancement, and supplier capacity through one scalar market. Its existence does not require logit smoothing, supplier entry, or another market.

9.6 Proposition 5: CMO scarcity attenuation

Assumptions and fixed objects. Let $p_m^0 = p_m^*(0)$ and $p_m^1 = p_m^*(1)$. Hold qualified-supply technology, supplier distribution and background demand fixed across regimes. The reform adds nonnegative entrusted-route study demand; old routes remain available.

Proof: equilibrium price comparison. At the pre-MAH price,

$$Z_1(p_m^0) = D_m^{\text{MAH}}(p_m^0; 1) \geq 0,$$

because background demand equals supply at p_m^0 . Since Z_1 is strictly decreasing and vanishes at p_m^1 ,

$$p_m^1 \geq p_m^0, \quad \text{with strict inequality if } D_m^{\text{MAH}}(p_m^0; 1) > 0. \quad (75)$$

Value attenuation. Define the fixed-price and equilibrium-price gains by

$$\Delta\Omega_i^{\text{dir}} = \int [W_i^E(q, m; 1, p_m^0) - W_i^0(q, m)]_+ dF,$$

$$\Delta\Omega_i^{\text{eq}} = \int [W_i^E(q, m; 1, p_m^1) - W_i^0(q, m)]_+ dF.$$

Since $W_{i,p_m}^E = -b(m) < 0$ and $p_m^1 \geq p_m^0$, the integrand in the equilibrium expression is pointwise no larger. Both integrands are nonnegative, so

$$0 \leq \Delta\Omega_i^{\text{eq}} \leq \Delta\Omega_i^{\text{dir}}. \quad (76)$$

Advancement attenuation. For a fixed pre-MAH value Ω_i^0 , the mapping

$$d \mapsto \left(\frac{\beta a_i}{\kappa} \right)^{1/\nu} [(\Omega_i^0 + d)^{1/\nu} - (\Omega_i^0)^{1/\nu}]$$

is nonnegative and strictly increasing for $d \geq 0$. Therefore

$$0 \leq \Delta x_i^{\text{eq}} \leq \Delta x_i^{\text{dir}}. \quad (77)$$

Zero-effect and boundary cases. If study demand is zero at p_m^0 , uniqueness gives $p_m^1 = p_m^0$. If supply is perfectly elastic at a common $\bar{p}_m$, then $p_m^1 = p_m^0 = \bar{p}_m$ and attenuation disappears. If a high equilibrium price eliminates entrusted advantage for developer i , its equilibrium gain is zero. Even then the old route-set value is preserved: scarcity can attenuate the positive reform gain but cannot make access to the enlarged choice set privately worse.

Economic interpretation. New demand for qualified external capacity bids up its scarcity price. This reduces the value of the entrusted option relative to a fixed-price policy calculation and tempers project advancement. The price response is endogenous; MAH does not directly reduce scarcity or shift supply.

9.7 Proposition 6: Planning-stage and observed outcomes

Assumptions and fixed objects. Fix a regime and its equilibrium objects. The common x_i^* is selected before project characteristics and route assignment. The downstream probability $s(q)$ is exogenous and policy invariant. For typed baseline outcomes write $s_g(q) = s(q)$: the same kernel enters valuation and realized outcomes. The optional separate class-specific kernel is not activated. All integrals use the deterministic route choices evaluated in the same regime.

Planning-stage projects. The equilibrium intensity at which viable projects reach the stage relevant for commercialization is

$$\Lambda_i^{\text{plan}} = a_i x_i^*. \quad (78)$$

This is the planning-stage technology $\lambda_i^{\text{plan}} = a_i x_i$ evaluated at the advancement optimizer.

Observed retained outcomes. Within the paper’s original-drug domain, expected realized outcomes for which the developer remains the holder are

$$Y_i^{\text{ret}} = a_i x_i^* \int s(q) [\mathbf{1}\{r_i^* = I\} + \mathbf{1}\{r_i^* = E\}] dF(q, m). \quad (79)$$

Expected realized outcomes with retained holder–producer separation are

$$Y_i^E = a_i x_i^* \int s(q) \mathbf{1}\{r_i^* = E\} dF(q, m). \quad (80)$$

For $g \in \{O, \text{Inc}\}$, the class contribution to retained outcomes is

$$Y_{ig}^{\text{ret}} = a_i x_i^* \rho_g \int s_g(q) [\mathbf{1}\{r_i^* = I\} + \mathbf{1}\{r_i^* = E\}] dF_g(q, m). \quad (81)$$

There is one common x_i^* , not an x_{ig} control. By the mixture identity and the common realization kernel, $\sum_g Y_{ig}^{\text{ret}} = Y_i^{\text{ret}}$.

Proof and exact decomposition. Let

$$Q_i^{\text{ret},h} = \int s(q) [\mathbf{1}\{r_i^{*,h} = I\} + \mathbf{1}\{r_i^{*,h} = E\}] dF$$

and let $x_i^h = x_i^*(h, p_m^h)$. Adding and subtracting $a_i x_i^1 Q_i^{\text{ret},0}$ gives

$$\Delta Y_i^{\text{ret}} = a_i (x_i^1 - x_i^0) Q_i^{\text{ret},0} + a_i x_i^1 (Q_i^{\text{ret},1} - Q_i^{\text{ret},0}). \quad (82)$$

The first term is the project-advancement/planning-arrival component. The second is the retained-route composition component. Reassignment from I to E can raise Y_i^E without changing the retained total; movement from T/A to E can raise both.

Zero-effect and ambiguity cases. If advancement and all route indicators are unchanged, observed outcomes are unchanged. Since old route values remain available and price invariant, a previously retained project can stay on I or switch to E , but cannot switch to a strictly better T/A option after reform. Thus retained realization mass is weakly increasing (away from null ties). Together with Proposition 5 this yields weakly nonnegative retained-outcome changes, while strict increases and cross-class rankings need further conditions. A class-specific outcome can have zero change while the other changes, for example when the unchanged class has zero retained realization mass in both regimes. Zero conditional value gain alone is not sufficient: if common advancement increases and a class has positive pre-reform retained realization mass, that class also receives the advancement component. The baseline allows $\Delta Y_{iO}^{\text{ret}} = 0 < \Delta Y_{i\text{Inc}}^{\text{ret}}$ and the reverse; it imposes no ranking. If $\rho_g = 0$, that class contributes zero to the aggregate.

Economic interpretation. The model separates investment in advancing viable projects, their arrival at the commercialization-relevant planning stage, organizational assignment, and realized products. Holder–producer separation is observed only after route assignment. None of these expressions makes patent generation endogenous or lets MAH directly change downstream realization probabilities.

9.8 Scope conclusion

The six propositions and the novelty corollary exhaust the baseline results established in this section. They add no market, no entry margin, no welfare object, no logit route share, no class-specific advancement control, and no direct policy effect on research capability, project draws, manufacturing technology, capacity supply, or downstream realization.

10 Comparative Statics and Boundary Cases

This section distinguishes four operations that cannot be interchanged:

1. a derivative with respect to a continuous primitive at a fixed candidate CMO price p_m ;
2. a derivative with respect to a continuous primitive after the CMO market clears at p_m^* ;
3. a finite comparison between the binary regimes $M = 0$ and $M = 1$;
4. a limiting-case calculation.

There is no derivative with respect to binary M . Before each economic interpretation, the mathematical margin is named as commercial return, commercialization-route choice, project advancement, the CMO price, or realized product output. Upstream research and patent generation are not endogenous margins of the baseline.

10.1 Commercial pricing and return

Object and held-fixed variables. The differentiated objects are the optimized product price, operating profit, and commercial present value. Project value q , marginal manufacturing cost c , and the demand and discount primitives are held fixed except for the single argument named in each derivative. These are conditional product-market calculations; neither M nor p_m^* is varied.

The pricing solution and operating profit derived above can be written as

$$p^*(c) = \frac{\varepsilon}{\varepsilon - 1}c, \quad \pi(q, c) = \frac{Aq}{\varepsilon} \left(\frac{\varepsilon}{\varepsilon - 1}c \right)^{1-\varepsilon}.$$

Direct differentiation gives

$$\frac{\partial p^*}{\partial c} = \frac{\varepsilon}{\varepsilon - 1} > 1, \quad \frac{\partial \pi}{\partial q} = \frac{\pi}{q} > 0, \quad \frac{\partial \pi}{\partial c} = (1 - \varepsilon)\frac{\pi}{c} < 0. \quad (83)$$

Since $R(q, c) = \pi(q, c)/(1 - \beta\varphi)$,

$$R_q = \frac{R}{q} > 0, \quad R_c = (1 - \varepsilon)\frac{R}{c} < 0, \quad (84)$$

and, holding π fixed,

$$R_\beta = \frac{\varphi\pi}{(1 - \beta\varphi)^2} \geq 0, \quad R_\varphi = \frac{\beta\pi}{(1 - \beta\varphi)^2} > 0.$$

The first inequality is an equality when $\varphi = 0$.

Sufficient conditions, dimensions, and zero effects. The signs use $A, q, c > 0$, $\varepsilon > 1$, $\beta \in (0, 1)$, and $\varphi \in [0, 1)$. The price derivative is dimensionless; R_q and R_c have currency per unit of their respective arguments. A change in β has no continuation-value effect when $\varphi = 0$. None of these derivatives is a policy effect unless a specified route technology changes the cost argument supplied to R .

Economic interpretation and empirical prediction. This is a commercial-return margin. Higher manufacturing cost is passed through to the product price and lowers optimized commercial

value, while a higher project-value shifter raises it. The empirical prediction is conditional cost pass-through and lower commercial return for more costly manufacturing, not a claim about patenting or upstream research.

10.2 Commercialization-route choice at fixed CMO price

Object and held-fixed variables. The object is the internal-minus-entrusted value gap and its conditional capability cutoff. Hold (q, m) , all technologies and outside options fixed. For capability derivatives also hold finite (τ_E, p_m) fixed. For each implicit cutoff derivative, vary only the continuous argument displayed.

On the interior of the internally feasible domain,

$$\Delta_{IE,k} = s(q)R_c(q, c_I)c_{I,k} - F_{I,k} > 0. \quad (85)$$

The operating-cost component is weakly positive and may be zero when $s(q) = 0$; the setup-cost component is strictly positive. Under the cell-specific crossing condition, the implicit-function theorem gives

$$\left. \frac{\partial k^*}{\partial \tau_E} \right|_{q,m,p_m} = -\frac{1}{\Delta_{IE,k}(k^*)} < 0, \quad \left. \frac{\partial k^*}{\partial p_m} \right|_{q,m,\tau_E} = -\frac{b(m)}{\Delta_{IE,k}(k^*)} < 0. \quad (86)$$

Both are continuous-argument derivatives inside the finite-wedge domain. They are not derivatives with respect to M , and the second is not an equilibrium-price effect.

Binary policy comparison. Let $W_i^0 = \max\{W_i^I, W^T, 0\}$. At any fixed finite p_m ,

$$W_i(q, m; 1, p_m) - W_i(q, m; 0, p_m) = [W_i^E(q, m; 1, p_m) - W_i^0(q, m)]_+ \geq 0. \quad (87)$$

This finite comparison adds an option without changing the old route values. It is strict only on $\mathcal{C}_i(p_m)$.

Sufficient conditions and zero effects. The cutoff signs require internal feasibility, the maintained technology signs, finite (τ_E, p_m) , strict $\Delta_{IE,k} > 0$, and endpoint crossing. If crossing fails, no interior cutoff is asserted. If T or A dominates, the I/E cutoff does not determine the realized route. If $W_i^E \leq W_i^0$, the finite policy gain is zero.

Economic interpretation and empirical prediction. This is a commercialization-route margin. Better internal manufacturing capability makes internal production relatively more attractive; a lower finite entrusted-route burden expands the capability region using E , while a higher fixed CMO price contracts it. The empirical prediction is sorting of holder–manufacturer organization by predetermined manufacturing capability and project requirement, conditional on outside options.

10.3 Project advancement at fixed CMO price

Object and held-fixed variables. The object is the unique common project-advancement intensity

$$x_i^*(M, p_m) = \left[\frac{\beta a_i \Omega_i(M, p_m)}{\kappa} \right]^{1/\nu}.$$

Each partial derivative below holds M, p_m, ν and all unlisted primitives fixed. In particular, route-value objects are held fixed when a_i or κ is varied. The formulas apply at $\Omega_i > 0$; the $\Omega_i = 0$ corner is handled separately.

Differentiation of the advancement FOC gives

$$\frac{\partial x_i^*}{\partial \Omega_i} = \frac{x_i^*}{\nu \Omega_i} > 0, \quad \frac{\partial x_i^*}{\partial a_i} = \frac{x_i^*}{\nu a_i} > 0, \quad \frac{\partial x_i^*}{\partial \kappa} = -\frac{x_i^*}{\nu \kappa} < 0. \quad (88)$$

The corresponding elasticities are $1/\nu, 1/\nu, -1/\nu$. Because the optimized project value obeys the deterministic envelope, $\Omega_{i,p_m} = -\chi_i^E$ almost everywhere, so

$$\left. \frac{\partial x_i^*}{\partial p_m} \right|_M = -\frac{x_i^*}{\nu \Omega_i} \chi_i^E \leq 0. \quad (89)$$

This is a fixed-candidate-price derivative and already includes both the intensive value effect and deterministic route-envelope effect inside Ω_i .

For binary M , define at a common support price

$$\Delta \Omega_i(p_m) = \int [W_i^E(q, m; 1, p_m) - W_i^0(q, m)]_+ dF.$$

The correct policy calculation is the finite difference

$$\Delta x_i(p_m) = \left(\frac{\beta a_i}{\kappa} \right)^{1/\nu} \left[(\Omega_i^0 + \Delta \Omega_i(p_m))^{1/\nu} - (\Omega_i^0)^{1/\nu} \right] \geq 0. \quad (90)$$

It is strict if and only if $\Delta \Omega_i(p_m) > 0$.

Sufficient conditions and zero effects. The partials require $\Omega_i > 0$. At the zero-value corner, $x_i^* = 0$; global monotonicity follows directly from the closed form. Higher a_i scales a positive response but cannot create one when the entrusted surplus is zero. The weak price effect is zero when no project uses E , so $\chi_i^E = 0$. The manufacturing-capability ordering of the level response additionally uses $\nu \geq 1$; no such sign is claimed for $0 < \nu < 1$ without another bound.

Economic interpretation and empirical prediction. This is development-stage project advancement, not upstream research. Expected commercialization value raises the return to advancing viable projects; higher advancement productivity amplifies a positive value gain, whereas a steeper cost scale reduces the chosen intensity. The prediction is a larger project-advancement response among high- a_i developers for which entrusted manufacturing adds value, especially when internal manufacturing capability is weak under the stated curvature condition. No patent-application response follows mechanically.

10.4 CMO supply, demand, and continuous equilibrium derivatives

Supplier object and held-fixed variables. For a supplier with $p_m > 0$, vary only candidate price or efficiency while holding the other argument and the cost function fixed. Implicit differentiation of $p_m = \Psi_s(s_j^*; z_j)$ gives

$$\frac{\partial s_j^*}{\partial p_m} = \frac{1}{\Psi_{ss}} > 0, \quad \frac{\partial s_j^*}{\partial z_j} = -\frac{\Psi_{sz}}{\Psi_{ss}} > 0. \quad (91)$$

These are capacity-supply derivatives; policy does not shift Ψ or z_j .

Study-demand object. For this local formula, assume differentiability and an integrable envelope for local difference quotients, permitting differentiation under the developer integral. Then

$$\frac{\partial D_m^{\text{MAH}}}{\partial p_m} = \int a_i \left[\frac{\partial x_i^*}{\partial p_m} \chi_i^E + x_i^* \frac{\partial \chi_i^E}{\partial p_m} \right] dH(a, k) \leq 0. \quad (92)$$

The first term is the project-value/advancement response; the second is the commercialization-route response. Where a classical derivative does not exist, the global weak decrease follows from the product of nonnegative monotone responses. The no-tie and integrability assumptions ensure continuity, not necessarily classical differentiability.

Continuous equilibrium perturbation. Consider an infinitesimal continuous, non-policy perturbation. Let dD_m and dS_m denote its direct demand and supply shifts at a fixed price. Hold every other primitive fixed. Assume continuously differentiable aggregates with finite derivatives locally and the derivative envelopes just stated. Supplier integration gives $S_{m,p} = \int 1/\Psi_{ss} dH_C > 0$, while demand monotonicity gives $D_{m,p} \leq 0$. Differentiating $Z(p_m) = D_m(p_m) - S_m(p_m) = 0$ at the unique equilibrium gives $S_{m,p} - D_{m,p} > 0$ and

$$dp_m^* = \frac{dD_m - dS_m}{S_{m,p} - D_{m,p}}. \quad (93)$$

A demand-increasing shifter raises the equilibrium price when supply is not shifted; a supply-increasing shifter lowers it when demand is not shifted. This formula is not applied to binary M .

Sufficient conditions, dimensions, and zero effects. The supplier signs use $\Psi_{ss} > 0$ and $\Psi_{sz} < 0$. The aggregate price derivative uses the additional local differentiability and derivative envelopes; strict monotonicity alone would not imply a nonzero slope. The derived positive supply derivative makes its denominator strictly positive. It is zero when the perturbation changes neither demand nor supply at the equilibrium. Equation (93) is dimensionally a change in CMO price.

Interpretation and prediction. These are CMO capacity and equilibrium-price margins. A higher capacity price induces more qualified supply but reduces study demand through both fewer entrusted assignments and weaker project advancement. The prediction is an upward-sloping supply response and a scarcity price that responds positively to continuous demand pressure, conditional on unchanged supply technology.

10.5 Binary reform at the equilibrium CMO price

Object and finite comparison. Let $p_m^h = p_m^*(h)$ for $h \in \{0, 1\}$. Supply technology, the supplier distribution, and background demand are held fixed. Since $D_m^{\text{MAH}}(p_m; 0) = 0$, market clearing at p_m^0 implies

$$Z_1(p_m^0) = D_m^{\text{MAH}}(p_m^0; 1) \geq 0.$$

Strict monotonicity of Z_1 therefore gives the finite comparison

$$p_m^1 \geq p_m^0, \quad p_m^1 > p_m^0 \iff D_m^{\text{MAH}}(p_m^0; 1) > 0. \quad (94)$$

No derivative with respect to M is used.

Define the fixed-price direct gain and the equilibrium gain as

$$\begin{aligned} \Delta\Omega_i^{\text{dir}} &= \int [W_i^E(q, m; 1, p_m^0) - W_i^0(q, m)]_+ dF, \\ \Delta\Omega_i^{\text{eq}} &= \int [W_i^E(q, m; 1, p_m^1) - W_i^0(q, m)]_+ dF. \end{aligned}$$

Because $W_{i,p_m}^E = -b(m) < 0$, the price order yields

$$0 \leq \Delta\Omega_i^{\text{eq}} \leq \Delta\Omega_i^{\text{dir}}. \quad (95)$$

Applying the strictly increasing advancement mapping to these value gains gives

$$0 \leq \Delta x_i^{\text{eq}} \leq \Delta x_i^{\text{dir}}. \quad (96)$$

Conditions and zero effects. The price order requires policy-invariant supply/background demand and nonnegative post-reform study demand. Strictness requires positive study demand at p_m^0 . A developer's equilibrium gain is zero when the entrusted option remains below its old-route maximum at p_m^1 . Scarcity can eliminate an incremental gain but cannot lower the old choice-set value.

Economic interpretation and empirical prediction. This is an equilibrium CMO-price feedback on project advancement. New entrusted-route demand bids up scarce qualified capacity, so a fixed-price calculation overstates the equilibrium value and advancement response. The prediction is a weak post-reform increase in the CMO capacity price when the study cohort creates positive demand and an advancement response no larger than the fixed-price benchmark. A cross-market ranking by supply elasticity alone requires additional comparability conditions on demand and the pre-reform benchmark; it does not follow from this within-market comparison.

10.6 Planning-stage and realized-product finite comparisons

Objects and held-fixed primitives. The objects are planning-stage project intensity and realized retained-product outcomes, evaluated at the regime-specific equilibrium. Predetermined a_i , project distributions, realization probabilities, technologies and outside options are held fixed. The regime changes only route availability and the endogenous CMO price.

Planning-stage intensity satisfies the exact finite difference

$$\Delta \Lambda_i^{\text{plan}} = a_i \Delta x_i^{\text{eq}} \geq 0. \quad (97)$$

Let

$$Q_i^{\text{ret},h} = \int s(q) [\mathbf{1}\{r_i^{*,h} = I\} + \mathbf{1}\{r_i^{*,h} = E\}] dF.$$

Adding route E cannot remove an old option. If E wins, it is retained; if it does not win, the old maximizer is unchanged. Hence $Q_i^{\text{ret},1} \geq Q_i^{\text{ret},0}$. The exact decomposition is

$$\Delta Y_i^{\text{ret}} = a_i(x_i^1 - x_i^0)Q_i^{\text{ret},0} + a_i x_i^1(Q_i^{\text{ret},1} - Q_i^{\text{ret},0}) \geq 0. \quad (98)$$

The first term is project advancement; the second is retained-route composition. The same decomposition applies within class g using $\rho_g F_g$, $s_g = s$, and the common x_i , not a class-specific control. Zero conditional class surplus alone is not a zero-output condition when common advancement rises and that class retains positive realized mass.

Sufficient conditions and zero effects. A strict planning-stage increase requires a positive equilibrium expected-value gain. A strict retained-product increase requires a positive advancement term or positive-measure movement from T/A into E with positive realization weight. Reassignment from I to E raises observed holder–producer separation but, by itself, does not change the retained total. If advancement and route indicators are unchanged, every displayed outcome change is zero.

Economic interpretation and empirical prediction. These are planning-stage and realized-product margins. The model predicts that retained holder–producer separation can rise after route E becomes available, and separates that assignment change from the number of viable projects advanced and from downstream realization. Product-level holder and manufacturer records can test the assignment prediction. Patent applications are not an outcome in these expressions.

10.7 Mandatory limiting cases

Internal capability $k_i \rightarrow \infty$. On the feasible interior, $\Delta_{IE,k} > 0$, so increasing capability weakly favors I relative to E . Under the maintained upper-end crossing condition, $\Delta_{IE} > 0$ for sufficiently large k_i . This is a relative route-value statement; T or A may still dominate both.

Insufficient internal capability. If $k_i < \underline{k}(m)$, then $F_I(m, k_i) = +\infty$ and $W_i^I = -\infty$. Route I is infeasible rather than merely unattractive.

Pre-MAH regime. When $M = 0$, $\tau_E(0) = +\infty$, so $W_i^E = -\infty$, $\chi_i^E = 0$, and $D_m^{\text{MAH}} = 0$. The old route set and background CMO market remain.

Infinite CMO price. Because $b(m) > 0$,

$$\lim_{p_m \rightarrow \infty} W_i^E(q, m; 1, p_m) = -\infty.$$

For each fixed project, E eventually ceases to be optimal; no common finite exclusion price is asserted for unbounded project support. Thus

$$\lim_{p_m \rightarrow \infty} W_i(q, m; 1, p_m) = W_i^0(q, m). \quad (99)$$

The newly added option disappears economically but cannot reduce the old route-set value.

Zero entrusted-route advantage. If $W_i^E(q, m; 1, p_m) \leq W_i^0(q, m)$ for every draw, then

$$\Delta\Omega_i(p_m) = 0, \quad \Delta x_i(p_m) = 0. \quad (100)$$

At the equilibrium price, the same conclusion applies when the inequality holds at p_m^1 .

Perfectly elastic CMO supply. If qualified capacity is available at the common administered/competitive price $\bar{p}_m$ in both regimes, then

$$p_m^1 = p_m^0 = \bar{p}_m, \quad \Delta\Omega_i^{\text{eq}} = \Delta\Omega_i^{\text{dir}}, \quad \Delta x_i^{\text{eq}} = \Delta x_i^{\text{dir}}.$$

The equilibrium attenuation channel disappears. This is a boundary outside the strictly increasing-supply condition used for uniqueness, not a claim that baseline supply is perfectly elastic.

Quadratic advancement cost. For $\nu = 1$,

$$x_i^*(M, p_m) = \frac{\beta a_i}{\kappa} \Omega_i(M, p_m), \quad \Delta x_i = \frac{\beta a_i}{\kappa} \Delta\Omega_i. \quad (101)$$

The value response is exactly linear.

Novelty-share boundaries and no fixed ranking. The common-control decomposition is

$$\Delta\Omega_i = \rho_O \Delta\Omega_{iO} + \rho_{\text{Inc}} \Delta\Omega_{i\text{Inc}}. \quad (102)$$

If $\rho_O = 0$, the original-oriented class contributes zero to the aggregate; if $\rho_{\text{Inc}} = 0$, the incremental class contributes zero. Either conditional gain may be zero while the other is positive. Reversing the class supports of positive entrusted surplus reverses their ordering, so no fixed ranking follows from the baseline.

10.8 Comparative-static scope conclusion

All central signs above follow from the maintained primitive, technology, market, and mapping assumptions and the deterministic option-value structure. This section adds no route, control, state, market, welfare object, patent outcome, logit share, inclusive value or continuous implementation index. Its finite policy chain is

$$\begin{aligned} M &\longrightarrow \text{availability of retained entrusted manufacturing} \longrightarrow \Omega_i \\ &\longrightarrow x_i^* \longrightarrow \text{planning, route, and realized-product objects.} \end{aligned}$$

with the endogenous CMO price attenuating, rather than directly causing, the project-value response.

11 Observed Outcomes and the Data Boundary

The required propositions derived planning-stage and observed-product outcomes. This section fixes their interpretation and timing. It adds no primitive, control, realization channel, market, or empirical identification claim.

11.1 Outcome hierarchy

The baseline preserves the strict conceptual distinction

$$\boxed{\text{upstream research} \neq \text{project advancement} \neq \text{commercialization organization} \neq \text{realized product.}} \quad (103)$$

Here x_i is project-development / advancement intensity. It advances viable projects toward commercialization-relevant route planning and excludes patent applications, basic research and upstream scientific discovery. The optimal planning-stage arrival intensity is $\Lambda_i^{\text{plan}} = a_i x_i^*$; route choice then assigns a realized project to I, E, T , or A ; retained holder–producer separation can then be observed, followed by downstream product realization.

11.2 Anticipated and realized sequences

The ex ante policy channel is

$$M \longrightarrow \text{anticipated availability and value of } E \longrightarrow \Omega_i \longrightarrow x_i^*. \quad (104)$$

The later realized sequence is

$$x_i^* \longrightarrow \Lambda_i^{\text{plan}} \longrightarrow r_i^* \longrightarrow \text{observed holder–producer separation} \longrightarrow \text{realized products.} \quad (105)$$

Observed separation is therefore a downstream route outcome, not an event that precedes or causes the ex ante advancement choice.

11.3 Novelty classes under one common control

For $g \in \{O, \text{Inc}\}$, the class-specific retained outcome retains the form established in Proposition 6:

$$Y_{ig}^{\text{ret}} = a_i x_i^* \rho_g \int s_g(q) [\mathbf{1}\{r_i^* = I\} + \mathbf{1}\{r_i^* = E\}] dF_g(q, m). \quad (106)$$

Here $s_g(q) = s(q)$, as in Proposition 6. The classifier changes the conditional distribution used in the integral; it does not create a control x_{ig} . The baseline permits either class to have a zero response while the other responds, and imposes no ranking between their reform gains. As Proposition 6 explains, a zero conditional value gain alone does not imply zero observed change when common advancement rises.

11.4 Measurement boundary

Patent applications measure a patenting margin that may reflect upstream research activity, but they are not direct observations of upstream research and are not baseline endogenous outcomes. An isolated patent decline does not by itself falsify the mechanism. Activity around an IND or another regulatory application, and early clinical milestones, may proxy project advancement only when their measurement definition and timing are validated. Product-level holder–manufacturer separation may proxy route E only when holder identity, manufacturer identity, product, and date are aligned. Approval or launch data are realized-product outcomes, not direct observations of x_i .

Approval-side and product-side data generally do not separately identify

$$\{x_i, a_i, s(q), \tau_E, \mu_E, p_m\}. \quad (107)$$

They may discipline composite objects such as planning-stage intensity, retained-route realization, or holder–producer separation. A primitive-complete theory does not imply primitive-by-primitive empirical identification.

11.5 Scope conclusion

The formal distinction is therefore among project-development / advancement intensity, route-planning-stage arrival, commercialization organization, and observed approval, launch, or retained product. Patent generation is not added as a baseline outcome, and downstream realization probabilities remain policy invariant. No empirical data set or proxy is asserted to be available here.

12 Research versus Development: Boundary of the Baseline

MAH directly changes downstream commercialization options through the institutional wedge $\tau_E(M)$, whose infinite/finite value encodes the effective availability of retained entrusted manufacturing. The common control x_i is project-development / advancement intensity. It advances viable projects toward commercialization-relevant route planning and excludes upstream patent-generating research, basic-compound discovery, and patent applications. Accordingly, the baseline permits

$$M \longrightarrow \text{anticipated availability/value of } E \longrightarrow \Omega_i \longrightarrow x_i^*,$$

but it does not imply that MAH raises patent applications.

This distinction is empirically relevant. Gu (2024) documents that the reform permitting production outsourcing raises clinical trials among innovators without production facilities, while patent applications decline among firms with fewer financial resources and do not significantly decline for firms with more resources.¹ Granted- and core-patent proxies do not show a statistically significant decline (Table V, p. 48). These findings show that clinical-trial and patenting margins can diverge; patent outcomes are not direct observations of upstream research.

The same paper reports that the trial response is concentrated in the first stage (Table VIII, p. 51) and in incrementally innovative chemical drugs rather than originally innovative chemical drugs, while originally innovative biological drugs show a smaller positive point estimate (Table VII, p. 50). The author describes these cross-class patterns as more pronounced for incremental projects, but no formal cross-column equality test is reported. They therefore motivate heterogeneity tests; they are not restrictions imposed on the present baseline. In particular, the common x_i , exogenous shares ρ_g , and conditional distributions F_g remain compatible with either class responding more, less, or not at all.

Gu (2024) also finds that pure researchers become more likely to initiate a first clinical trial and enter development (Table IX, p. 52). That result is an extensive-margin transition outside the present fixed-population partial equilibrium and may motivate a separately approved entry extension. Separately, heterogeneity by financial resources may motivate financing or research-versus-development allocation extensions, but the evidence neither identifies nor requires a binding constraint. None of these mechanisms enters the baseline.

13 Empirical Mapping Interface

This section leaves audited insertion points for future data. It does not claim that any named measure is currently available, complete, validated, or identifying. Every interface specifies a unit, observational grain, required join keys, availability status, and identification limit.

¹August 22, 2024 version, SSRN 4770849; Tables II–IV, pp. 45–47.

13.1 Developer and project interfaces

13.1.1 Interface 1: Predetermined research capability a_i

Meaning: pre-existing ability to generate and advance viable original-drug projects. *Candidate measure:* pre-policy development history, innovative-drug pipeline, scientific labor, or patent history after construct validation. *Unit:* capability index or pre-policy event rate. *Grain:* developer by pre-policy period. *Required keys:* stable developer identifier, source identifier, and event or reporting date. *Availability:* NOT VERIFIED; no source is asserted available. *Identification limit:* patent history may proxy predetermined capability, but it is not x_i and does not identify a_i separately without additional structure.

13.1.2 Interface 2: Advancement intensity x_i

Meaning: project-development / advancement intensity.

Candidate measure: validated development-stage activity. *Unit:* latent intensity or investment per developer-period. *Grain:* developer by decision cohort or period. *Required keys:* developer identifier and decision-cohort date, with a documented activity definition. *Availability:* NOT DIRECTLY OBSERVED and NOT VERIFIED. *Identification limit:* x_i advances viable projects toward route planning and excludes upstream patent-generating research. Candidate development-stage measures require construct and timing validation.

13.1.3 Interface 3: Planning-stage projects $a_i x_i$

Meaning: viable projects reaching the route-planning stage. *Candidate measure:* IND or regulatory application activity and early clinical milestones after a measurement audit. *Unit:* projects or qualifying events per developer-period. *Grain:* developer–project–event date. *Required keys:* developer identifier, project or product identifier, event type, and event date. *Availability:* NOT VERIFIED. *Identification limit:* this is not approval or launch and does not separately identify a_i and x_i .

13.1.4 Interface 4: Internal manufacturing capability k_i

Meaning: predetermined ability to manufacture a project’s required technology internally. *Candidate measure:* pre-reform, project-compatible capacity evidence. *Unit:* compatibility/capability index or physical capacity in a defined technology class. *Grain:* developer–facility–technology class–date. *Required keys:* developer, facility, technology class, product or requirement class, and observation date. *Availability:* NOT VERIFIED. *Identification limit:* licences or GMP scope alone need not measure usable project-compatible capacity.

13.1.5 Interface 5: Project value q

Meaning: project commercial/scientific value shifter. *Candidate measure:* therapeutic value, target value, indication, or market-size measures after validation. *Unit:* standardized project-value index. *Grain:* project–indication–reference date. *Required keys:* project/product, indication, valuation source, and reference date. *Availability:* NOT VERIFIED. *Identification limit:* proxies discipline a value shifter; they do not permit a direct MAH shift in q .

13.1.6 Interface 6: Manufacturing complexity m

Meaning: project-specific manufacturing requirement. *Candidate measure:* modality, dosage form, biologic/sterile status, or audited technical class. *Unit:* technology class or validated complexity index. *Grain:* project/product–manufacturing requirement. *Required keys:* project/product identifier, modality, dosage form, technical class, and classification version. *Availability:* NOT VERIFIED. *Identification limit:* m is a project requirement, not developer capacity and not a policy outcome.

13.2 Route and realized-outcome interfaces

13.2.1 Interface 7: Retained entrusted route $r_i^* = E$

Meaning: the developer remains the holder while a qualified external producer manufactures. *Candidate measure:* product-level holder differs from manufacturer. *Unit:* binary route indicator. *Grain:* product–holder–manufacturer–effective date. *Required keys:* normalized holder identifier, manufacturer identifier, product identifier, authorization/effective date, and source provenance. *Availability:* NOT VERIFIED. *Identification limit:* holder, manufacturer, product and timing must all align; holder–manufacturer difference is not automatically route E .

13.2.2 Interface 8: Realized retained outcome Y_i^{ret}

Meaning: realized innovative product for which the developer retains holder status. *Candidate measure:* approval, launch, or marketing-licence outcome with holder identity. *Unit:* product event or count. *Grain:* developer–product–approval/launch date. *Required keys:* developer/holder, product, event type, event date, and jurisdiction. *Availability:* NOT VERIFIED. *Identification limit:* this is a downstream realized outcome, not a direct observation of advancement.

13.2.3 Interface 9: Novelty class g

Meaning: exogenous original-versus-incremental empirical classifier. *Candidate measure:* verified regulatory classification. *Unit:* categorical label O or Inc. *Grain:* product/project–classification version. *Required keys:* product/project identifier, classification rule, source, version, and classification date. *Availability:* NOT VERIFIED. *Identification limit:* the label is not a control or state, creates no x_{ig} , and imposes no response ranking.

13.2.4 Interface 10: Patent applications

Meaning: candidate patenting-side signal outside the baseline endogenous outcome. It may reflect upstream research activity after construct validation, but it is not a direct observation of upstream research. *Candidate measure:* patent applications or families after assignee and quality audits. *Unit:* application/family count or quality-weighted measure. *Grain:* assignee–patent family–application date. *Required keys:* assignee, developer crosswalk, family identifier, application date, and technology class. *Availability:* NOT VERIFIED. *Identification limit:* a patent response neither equals x_i nor directly identifies upstream research, and it does not alone validate or falsify the commercialization mechanism.

13.3 Market and outside-option interfaces

13.3.1 Interface 11: CMO price or scarcity p_m^*

Meaning: equilibrium scarcity of qualified manufacturing service. *Candidate measure:* service price if observed; otherwise audited capacity, density, utilization, or waiting-time proxies. *Unit:* currency per qualified-capacity unit, or a documented proxy unit. *Grain:* technology/region–market period. *Required keys:* technology class, region, period, capacity unit, and supplier/source identifier. *Availability:* PRICE DATA NOT VERIFIED; alternative proxies also require audit. *Identification limit:* a nonprice scarcity proxy does not separately identify p_m^* or the supply and demand schedules.

13.3.2 Interface 12: Transfer outside option $T(q, m)$

Meaning: non-retained transfer or licence value. *Candidate measure:* future transfer/licence deal moments. *Unit:* currency per project or standardized deal-value index. *Grain:* project–licensor–licensee–deal date. *Required keys:* project, licensor, licensee, deal date, deal scope, and disclosed value components. *Availability:* FUTURE INTERFACE; NOT VERIFIED. *Identification limit:* the outside option is not endogenized in the baseline, and incomplete deal values need not identify $T(q, m)$.

13.4 Timing interface

The theoretical anticipation channel remains

$$M \longrightarrow \text{anticipated availability and value of } E \longrightarrow \Omega_i \longrightarrow x_i^*, \quad (108)$$

whereas the realized sequence remains

$$\begin{aligned} x_i^* &\longrightarrow \text{planning-stage projects} \longrightarrow r_i^* \\ &\longrightarrow \text{observed holder-producer separation} \longrightarrow \text{realized products.} \end{aligned} \quad (109)$$

Future tests may examine both sequences, but an observed downstream separation cannot be placed before the ex ante choice of x_i .

13.5 Interface conclusion

These entries are schemas for future validated data. No empirical data set is asserted to be currently available. Before use, every candidate source must pass provenance, coverage, key-uniqueness, unit, timing, and construct-validity audits. The model may discipline composite moments without separately identifying every primitive.

14 Explicit Extensions: Not the Baseline

Separation rule. Every object in this section is inactive in the baseline. None enters its symbols, assumptions, equilibrium, propositions, or empirical mapping. Activating any block would require a distinct model specification with its own assumptions, proofs, and data justification.

14.1 Extension 1: Smooth route choice

Let W_{ir} denote the deterministic value of route r , in currency per project. In this inactive extension only, let ϵ_{ir} be an additive route shock and U_{ir} its perturbed value. If a future quantitative application requires smooth route shares, it may use

$$U_{ir} = W_{ir} + \epsilon_{ir}, \quad r \in \{I, E, T, A\}.$$

Under an independently justified iid Type-I extreme-value distribution with scale $\sigma > 0$, the extension-only probability would be

$$P_{ir}^{\text{logit}} = \frac{\exp(W_{ir}/\sigma)}{\sum_{\ell \in \{I, E, T, A\}} \exp(W_{i\ell}/\sigma)}. \quad (110)$$

For completeness, let the shock CDF and density be $G_\sigma(e) = \exp[-\exp(-e/\sigma)]$ and $f_\sigma(e) = G'_\sigma(e)$. Conditional on the shock for route r , independence gives

$$P_{ir} = \int_{-\infty}^{\infty} f_\sigma(e) \prod_{\ell \neq r} G_\sigma(e + W_{ir} - W_{i\ell}) de.$$

With $t = \exp(-e/\sigma)$, this equals

$$\int_0^{\infty} \exp\left[-t \sum_{\ell} \exp((W_{i\ell} - W_{ir})/\sigma)\right] dt = \frac{1}{\sum_{\ell} \exp((W_{i\ell} - W_{ir})/\sigma)},$$

which is the stated formula. A route with value $-\infty$ receives zero probability by its limiting interpretation; the abandonment option keeps the denominator positive. The exponent is dimensionless because σ and route value use the same units.

This formula is not used by any baseline demand, cutoff, proposition, or equilibrium equation. Activation requires route-share data, a quantitative need, and shock-scale identification. Deterministic r_i^* remains the theoretical baseline.

14.2 Extension 2: Route-specific implementation

If later evidence supports route-specific post-assignment implementation probabilities, an extension may introduce $\chi^I(q, m)$ and $\chi^E(q, m)$. These would replace neither the baseline route choice nor the policy-invariant downstream probability without a new institutional model. In particular,

$$M = 1 \not\Rightarrow \chi^E(q, m) \uparrow$$

by assumption. Activation requires an operational definition, route-aligned data, and a causal justification for any policy dependence.

14.3 Extension 3: Transfer-market microfoundation

A future adoption-cost, search, or bargaining block may microfound the outside value $T(q, m)$. No bargaining protocol, transfer price, adoption cost, or counterparty choice is selected here. Until a separately specified design specifies agents, information, surplus, outside options and timing, $T(q, m)$ remains the exogenous non-retained outside option of the baseline.

14.4 Extension 4: Dynamic firm evolution

A recursive model is admissible only when a future question and evidence support a genuine state transition, such as accumulated manufacturing capability, a persistent product portfolio, entry/exit, or transition from a research-oriented developer to an integrated incumbent. No Bellman equation is written here because no state vector or transition law has been specified. This prevents static continuation-value accounting from being relabeled as a dynamic foundation.

14.5 Extension 5: Multi-CMO matching

A richer search or matching model may be considered if match-level data identify developers, suppliers, technology compatibility, search duration, prices and match timing. No matching function, bargaining rule or congestion externality is imposed here. The baseline continues to clear one aggregate qualified-capacity market at p_m^* .

14.6 Extension 6: Research-versus-development allocation

An optional, separately specified block may use two controls: upstream research x_i^R and project development x_i^D . A resource or financing constraint might link them. The block could be used to study $x_i^D \uparrow$ together with $x_i^R \downarrow$. The block is not implemented here: no constraint, objective, FOC, patent-production function, or policy sign is specified.

Activation requires a separate decision because it adds a control dimension, can shift the paper toward financial constraints, and overlaps with the empirical mechanism studied by Shi Gu. The baseline retains one common x_i , commercialization organization, retained authorization, manufacturing-capability matching, and CMO scarcity.

14.7 Isolation conclusion

The six optional blocks are documented so that future work has explicit insertion points. They remain inactive and cannot be cited as baseline mechanisms or assumptions. Conversely, the baseline does not import this file or depend on any extension-only symbol.

References

Gu, Shi, “Production Outsourcing and Innovation: Evidence from China’s Pharmaceutical Industry,” Working Paper SSRN 4770849, Kellogg School of Management, Northwestern University 2024. August 22, 2024 version.